

26STCV06534 26STCV06534

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Case Number: 26STCV06534 Hearing Date: August 5, 2026 Dept: 732

Hartbeat, LLC v. Eric Eddings, et al..

Wednesday, August 5, 2026

CASE NUMBER: 26STCV06534

OPPOSED

Plaintiff
Hartbeat, LLC's Motion to Compel Arbitration

Facts: This is an action for breach of contract and appropriation of trade secrets. The Complaint alleges as follows. Plaintiff Hartbeat, LLC ("Plaintiff") employed Defendants Eric Eddings and Lesley Gwam ("Defendants"), pursuant to which employment Defendants executed confidentiality agreements concerning their work product and Plaintiff's trade secrets. (Complaint ¶¶ 9–24.) Defendants used their access to Plaintiff's proprietary business and marketing strategies to launch their own competing business, which they started while working for Plaintiff. (Complaint ¶¶ 30–40.)

Procedural History:
Plaintiff filed the Complaint on February 27, 2026, alleging five causes of action:

1.

Breach of
Contract

2.
Unfair Business
Practices

3.
Misappropriation
of Trade Secrets

4.
Breach of
Fiduciary Duty

5.
Unjust
Enrichment

On March 9, 2026,
the court in Department 86 granted Plaintiff's ex parte application for a temporary
restraining order.

On March 26, 2026,
the court in Department 86 denied Plaintiff's motion for preliminary
injunction.

Plaintiff filed the
present motion to compel arbitration on May 1, 2026.

Defendants filed an
opposition on July 23, 2026.

Plaintiff filed a
reply on July 29, 2026.

Analysis:

I.
MOTION TO

COMPEL ARBITRATION

On petition of a party to an arbitration agreement to arbitrate a controversy, a court must order the petitioner and respondent to arbitrate the controversy if it determines the arbitration agreement exists, unless (1) the petitioner has waived its right to arbitrate; (2) grounds exist for the revocation of the agreement; or (3) “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.” (Code Civ. Proc., § 1281.2.)

“[T]he party moving to compel arbitration bears the burden of establishing the existence of a preponderance of the evidence any fact necessary to its defense. The role of the trial court is to sit as a trier of fact, weighing any affidavits, declarations, and other documentary evidence, together with oral testimony received at the court's discretion, to reach a determination on the issue of arbitrability.” (Hotels Nevada v. L.A. Pacific Center, Inc. (2006) 144 Cal.App.4th 754, 758.)

Plaintiff Heartbeat

LLC (“Plaintiff”) moves to compel arbitration of its claims for breach of contract, misappropriation of trade secrets, and others against its former employees, Defendants Eric Eddings and Lesley Gwam (“Defendants”), based on arbitration agreements executed by Defendants as they were onboarded into Plaintiff's company. (Clanagan Decl. ¶ 2, Exhs. A, B.) These arbitration agreements state:

To the maximum extent allowed by law, the Company and I mutually consent to the resolution by binding arbitration of all claims or causes of action, except as provided in Paragraph 2 below, that the Company may have against me or that I may have against the Company or the Company's current and former owners, partners, members, officers, directors, employees, representatives and agents, all parent companies, subsidiaries and affiliated entities, all benefit plans and benefit plan sponsors, fiduciaries, administrators, and all successors and assigns of any of them.

(Clanagan Decl.

Exhs. A, B.) The agreements specifically identify various statutory claims as being subject to arbitration, and exclude from arbitration claims for worker's compensation or petitions for provisional remedies under Code of Civil Procedure § 1281.8. (Clanagan Decl. Exhs. A, B, ¶¶ 1, 2.)

The agreements also contain a delegation provision, stating, "The arbitrator shall have exclusive authority to resolve any dispute relating to the interpretation, applicability, enforceability or formation of this Agreement including, but not limited to, any claim that all or any part of this Agreement is void or voidable." (Clanagan Decl. Exhs. A, B, ¶ 7(f).)

Defendants in opposition argue that the arbitration agreements are not applicable to Plaintiff's claims here, because provisions in the Confidentiality Agreements upon which Plaintiff brings suit establish exclusive jurisdiction of the courts to hear claims relating to those agreements (Opposition at pp. 4–5.) Defendants argue that the arbitration agreements are unconscionable, because they are adhesive contracts imposed upon employees as a condition of employment, and reserves to Plaintiff the right to go to court for expansive equitable remedies, which employees are expressly made to waive. (Opposition at pp. 5–7.) Defendants finally argue that Plaintiff has waived the right to arbitrate by filing suit in court. (Opposition at pp. 7–8.)

Plaintiff in reply argues that the questions raised by Defendants are properly resolved by the arbitrator pursuant to the delegation clause. (Reply at pp. 5–6.) However, it is proper to address them here. Where a party opposing arbitration argues that a separate agreement militates against arbitration and the delegation of power to the arbitrator to decide threshold issues of arbitrability, the resolution of that question "must be answered by a court." (Coinbase, Inc. v. Suski (2024) 602 U.S. 143, 150.)

"The parties may agree to delegate authority to the arbitrator to decide arbitrability, but given the contrary presumption, evidence that the parties intended such a delegation must be 'clear and unmistakable' before a court will enforce a delegation provision." (Mondragon v. Sunrun Inc. (2024) 101 Cal.App.5th 592, 603.)

No clear and

unmistakable intent to delegate is evident here. The delegation provision, considered on its own, is clear enough: the arbitrator's authority to decide questions of "the interpretation, applicability, enforceability or formation of this Agreement" is "exclusive." (Clanagan Decl. Exhs. A, B, ¶ 7(f).) But the confidentiality agreements that Plaintiff seeks to enforce here, which were executed alongside the arbitration agreements (Complaint ¶ 25), and which are attached to its Complaint, cloud this understanding, as they vest certain courts with exclusive jurisdiction to try matters relating to the confidentiality agreement. Section 5.4 of those agreements states:

This Agreement shall be governed in all respects by the laws of the State of California, without regard to the conflict of laws provisions thereof. Each of the Parties irrevocably consents to the exclusive personal jurisdiction and venue of the federal and state courts located in Los Angeles, California, as applicable, for any matter arising out of or relating to this Agreement. Additionally, notwithstanding anything in the foregoing to the contrary, a claim for equitable relief arising out of or related to this Agreement may be brought in any court of competent jurisdiction.

(Complaint Exhs. E, F, § 5.4.) This provision raises doubt as to whether suits based on the confidentiality agreements are in any respect to be heard by the arbitrator, rather than the courts in which they vest "exclusive personal jurisdiction and venue." (Ibid.) While the delegation clause would perhaps apply in a suit not arising from the confidentiality agreements, its application to the present suit, which expressly seeks to enforce these confidentiality agreements, is not clear and unmistakable. Thus the delegation clause is not applicable here.

Proceeding directly to the question of whether Plaintiff's claims, which arise from and relate to the confidentiality agreements, are arbitrable, the language in the confidentiality agreements weighs heavily against this conclusion. The above provision vests the state and federal courts in Los Angeles, California with "the exclusive personal jurisdiction and venue . . . for any matter arising out of or relating to this Agreement." (Complaint Exhs. E, F, § 5.4.) Although Plaintiff characterizes this as a "consent-to-jurisdiction" clause merely describing the proper venue in which to seek provisional remedies while arbitration is pending, the clause is unlike the consent-to jurisdiction

clause in the authority that it offers for support, which expressly acknowledged and provided for arbitration in the venue identified. (Scott v. Yoho (2016) 248 Cal.App.4th 392, 398–399 [where the provision stated, “I agree that any lawsuit or arbitration that is brought against Dr. Yoho, his corporation, associates, or organization, will be tried in Pasadena, California.”].)

Indeed, rather than providing for provisional remedies, the confidentiality agreements expressly state that “a claim for equitable relief arising out of or related to this Agreement may be brought in any court of competent jurisdiction,” without limiting equitable relief to that of a provisional character. (Complaint Exhs. E, F, § 5.4.) This express allowance for the bringing of claims in court is inconsistent with an interpretation that such claims are subject to the arbitration agreement.

Additionally, the agreement contains a severability provision for when “a court of law holds any provision of this Agreement to be illegal, invalid or unenforceable” (Id. at § 5.2, italics added), and an attorney fees provision for when a party “institutes any legal action to enforce its rights under the Agreement or to recover damages for breach of the Agreement. (Id. at § 5.6, italics added.) This language appears to assume that claims under the agreements will be tried in court, not arbitration.

The confidentiality agreements vest exclusive jurisdiction in courts, specifically authorize actions in court for equitable relief, and refer to courts and legal actions repeatedly. But they do not mention arbitration, and do not appear to contemplate it. The arbitration agreements, conversely, contain no reference to the confidentiality agreements, and contain but one reference to the arbitrability of claims for the “breach of any contract or covenant,” a general provision that does not control over the specific provisions of the confidentiality agreements. (Clanagan Decl. Exhs. A, B, ¶ 1.)

Defendants arguments

concerning the non-arbitrable nature of Plaintiff's claims is therefore persuasive. Far less definitive language has been held to constitute an arbitration carve-out for confidentiality-based claims. (See Fuentes v. Empire Nissan, Inc. (2026) 19 Cal.5th 93, 108–109 [“Most significantly, the confidentiality *109 agreements make no reference to arbitration. The arbitration agreement, by contrast, consistently uses the

words “arbitrate” and “arbitration” when that is what it means and uses “court” and “action” to refer to judicial proceedings. The absence of any reference to arbitration in the confidentiality agreements suggests that, at the time of their signing, the parties did not intend for claims under them to be subject to mandatory arbitration.”].)

Additionally,

Defendants make a persuasive showing that the arbitration agreements are unconscionable. “Unconscionability requires a showing of both procedural unconscionability and substantive unconscionability.” (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.) The oppression that creates procedural unconscionability arises from an inequality of bargaining power that results in no real negotiation and an absence of meaningful choice.” (Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc. (2015) 232 Cal.App.4th 1332, 1347–1348.) “Substantive unconscionability is not susceptible of precise definition. It appears the various descriptions—unduly oppressive, overly harsh, so one-sided as to shock the conscience, and unreasonably favorable to the more powerful party—all reflect the same standard. Substantive unconscionability is not concerned with a simple old-fashioned bad bargain.” (Id. at p. 1349, citations omitted.)

Here, Plaintiff presents a basis for finding some degree of procedural unconscionability, because arbitration contracts presented to employees on a take-it-or-leave-it basis are at least minimally procedurally unconscionable. (See Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 113.) The agreements here are form contracts expressly offered to employees as a condition of their employment. (Clanagan Decl. Exhs. A, B.)

As to

substantive unconscionability, the confidentiality agreements contain at least three substantively unconscionable provisions that would render enforcement of the arbitration agreements unconscionable. Contra Plaintiff’s argument in reply (Reply at p. 8), it is proper to consider the arbitration agreements in connection with the confidentiality agreements, as “[a]veral contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together.” (Civ. Code § 1642.)

Here, the confidentiality agreements create a unilateral carve-out for the employer’s claims under the arbitration

agreement, which has been held to create a lack of mutuality rendering arbitration agreements unenforceable. (See *Davis v. Kozak* (2020) 53 Cal.App.5th 897, 917, disapproved on other grounds by *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478.) Plaintiff articulates no business justification for such a carve-out.

Additionally, the confidentiality agreements contain a provision creating a presumption in Plaintiff's favor that violation of the agreement creates irreparable harm, thus absolving it of the necessity of proving damages or posting bond in the pursuit of injunctive relief. (Complaint Exhs. E, F, § 5.5.) Such a provision is one-sided in Plaintiff's favor and unconscionable. (See *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 492 ["[A]dditional provisions that waive the employer's need to obtain a bond before seeking an injunction, waive the employer's need to show irreparable harm, and require an employee to consent to an immediate injunction are unconscionable. They exceed the legitimate 'margin of safety' for the employer and are not mutual."].)

And while Plaintiff arrogates to itself these advantages by its contract of adhesion, it purports to waive the employee's right to any equitable remedy whatever, including "the right to seek injunctive relief." (Complaint Exhs. E, F, § 5.5.)

Notwithstanding the severability clauses in the confidentiality and arbitration agreements, these provisions permeate the arbitration agreement with unconscionability, rendering it unenforceable. (See *Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 90.)

The motion is therefore DENIED.

Superior Court of California

County of Los Angeles

Department 732

HARTBEAT, LLC,

Plaintiff,

v.

ERIC

EDDINGS, et al.,

Defendants.

Case No.:

26STCV06534

Hearing Date: August 5, 2026

[TENTATIVE] RULING RE:

Plaintiff Hartbeat, LLC's Motion to Compel Arbitration

Plaintiff

Hartbeat, LLC's Motion to Compel Arbitration is DENIED.

Defendants to provide notice.

Dated: August 5, 2026

Hon.

Richard S. Kemalyan

Judge

of the Superior Court